

Grasim Industries Ltd

GRASIM · Industrials / Diversified Industrials

ROE

11.20%

ROCE

10.18%

Net Profit Margin

7.58%

D/E

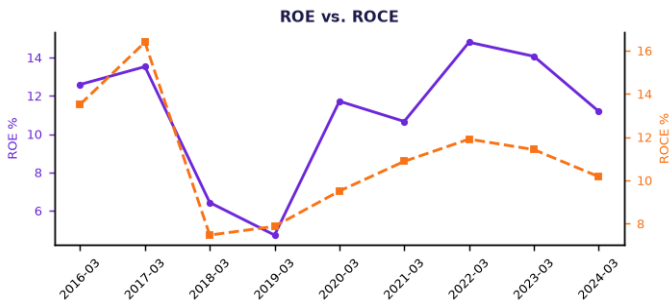
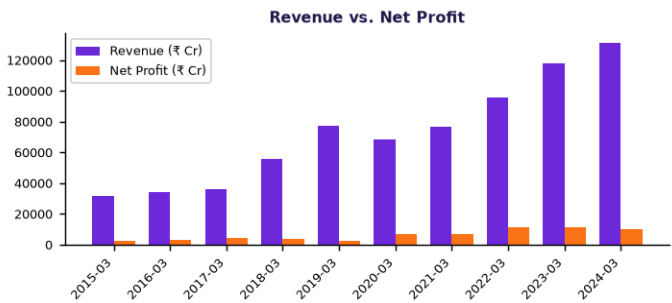
1.55

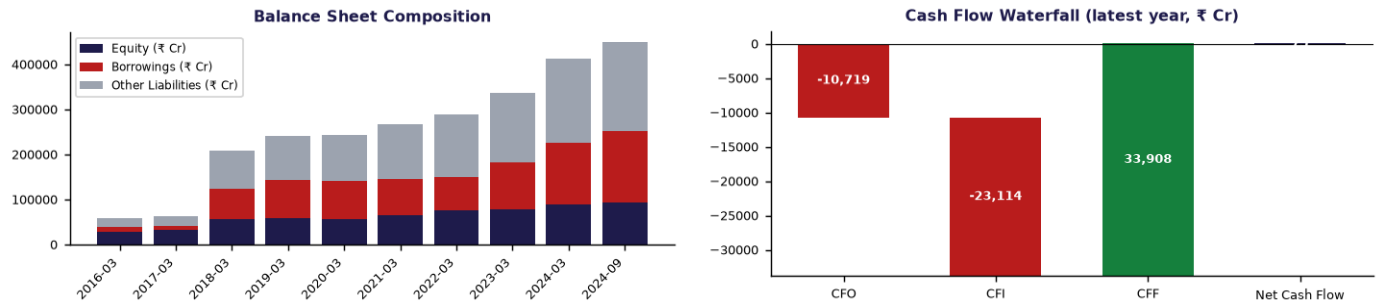
Revenue CAGR 5yr

11.15%

FCF (Rs. Cr)

-33,833





Pros

- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (100% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (94% confidence)
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (79% confidence)

Cons

- ✗ Earnings per share declining for 3 consecutive years reflects deteriorating profitability (100% confidence)
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (76% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (61% confidence)

Capital Allocation Pattern: **Growth Funded by Debt**